

beginning to recover. The stock wobbles on its way to G, where it busts the downward breakout.

For swing traders, the move after F isn't as important as the turn at D and the drop that follows. In fact, if you know when a downturn is likely to happen, then you can prepare (short the stock, buy protective puts on a long position, sell the stock outright, or just cower in the closet, biting your fingernails as your position starts losing money).

Appearance. The bearish butterfly loosely resembles a big W or a double bottom with somewhat tall sides on both ends and a twin bottom that won't share the same price. Some butterflies look like double bottoms, and some, like the one in [Figure 16.2](#), resemble an ugly double bottom (that is, a double bottom where the right bottom, C, is much higher than the left one, A).

Table 16.1 Identification Guidelines

Characteristic	Discussion
Appearance	Looks like a big W with the location of turns governed by Fibonacci ratios.
BA/XA retrace	The ratio of BA/XA is .786.
BC/BA retrace	The ratio of BC/BA is one of .382, .5, .618, .707, .786, or .886.
DC/BC extension	The extension of leg DC to BC is one of the Fibonacci numbers: 1.618, 2, or 2.24.
DA/XA extension	The ratio of DA to XA is 1.27.
Volume	Volume is downward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.